ContractLens MAS — Comparative Synthesis Report

NEC Douglas D10 - Security fencing omitted from the Activity Schedule and programme

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Agents: GCC Agent · NEC Agent · Comparison Agent
Workflow: Query Decomposition → Parallel Querying → Cross-examination → Synthesis → QA
Overall verdict: **PASSED**

Context / Scenario

A Client uses ECC Option A with secondary Option X15 for a new asset. The Contractor submitted the first programme for acceptance in accordance with the contract timescales but then realises that a 30 m length of security fencing has not been priced, is not shown on the Activity Schedule, and is not shown on the programme. The fencing is clearly identified in the Scope.

Topic

Security fencing omitted from the Activity Schedule and programme.

Questions

How would your answer to part a. differ if it was an Option C contract?

Query Plan

L1 — Spirit / Philosophy: How does the contract's governance philosophy allocate responsibility for delivering required security fencing where pricing and programming documents are incomplete?
L2 — Clause-level Provisions: Which clauses determine whether security fencing omitted from the Activity Schedule and programme remains required work, affects the Prices or Defined Cost, or gives rise to a change, compensation event, payment adjustment, or programme revision, especially under Option C?
L3 — Practice Implications: In practice, how should the contractor and project manager administer the omission, including notification, programme correction, quotation or assessment, cost substantiation, and the effect on interim payment and final commercial risk?
Canonical topic: payment_mechanism

Anchor Clauses

GCC: —
NEC4: cl. 55.1, cl. 55.3

Comparative Synthesis

> **Executive summary —** GCC keeps fencing required and usually within rates unless Clause 59(3) corrects a true BQ omission. Under NEC Option C, fencing is paid as Defined Cost plus Fee, but the target Prices stay unadjusted, shifting behaviour to prompt correction, cost evidence and share-risk management.

1. Spirit / Philosophy — Engineer-led risk vs relational correction.

GCC: The GCC approach is Engineer-led and claims/valuation-oriented. The Contractor must execute the Works and necessary Temporary Works, while incomplete tender or programme documents are addressed through BQ valuation, Engineer correction, or Contractor risk under Clauses 10, 14, 16 and 59. In TCE terms, it

emphasises ex ante risk pricing and later authoritative administration.

NEC: NEC4 ECC is process-based and relational, grounded in the spirit of mutual trust and co-operation under cl. 10.2. It separates Scope from the Activity Schedule and programme, so omissions are corrected through management processes rather than treated as relieving obligations. Under Option C, the commercial effect is managed through Defined Cost, Fee and the target/share mechanism rather than simple activity-price entitlement.

2. GCC Position (Implementation) — Required work despite pricing/programme omission.

Implementation flow:

1. Contractor provides fencing/Temporary Works required for execution and site safety throughout progress (Clause 10; Clause 20(1)) →
2. Engineer may require written particulars or a revised programme whenever required for contract management (Clause 16(1)) →
3. Programme submission/approval gives no relief from contractual duties (Clause 16(2)) →
4. Engineer reviews whether omission is tender-rate risk or genuine BQ omission (Clause 14; Clause 59(1); Clause 59(3)) →
5. If genuine BQ omission, Engineer corrects it and ascertains value of work actually carried out (Clause 59(3)); otherwise Contractor bears cost.

The GCC contains no Option C target-contract machinery. The expert response states that the corpus is silent on an “Option C target contract”, “Activity Schedule”, “Prices”, “Defined Cost”, “Fee”, “target adjustment”, “disallowed cost”, “pain/gain share”, and “compensation events”. Payment is instead governed by the “Bills of Quantities” or “Schedule of Rates” under Clause 59(1), with time or cost effects administered through variations, claims and extensions of time.

The obligation to provide security fencing remains. Clause 10 requires the Contractor to execute the Works and provide all “Temporary Works... and everything whether of a temporary or permanent nature required in and for such execution”. Clause 20(1) requires the Contractor “throughout the progress of the Works” to “take full responsibility for the adequate stability and safety of all operations on the Site”. Therefore, required security fencing must be provided even if absent from the Contractor’s planning or pricing documents.

Programme omission gives no waiver. Under Clause 16(1), the Engineer may instruct the Contractor to furnish written particulars or submit a revised programme showing the sequence and methods for installing the fencing whenever needed for contract management. Clause 16(2) states that submission to or approval by the Engineer of the programme “shall not relieve the Contractor of any duty or responsibility under the Contract”, so an accepted programme lacking fencing does not alter the duty.

Pricing turns on BQ risk allocation. Clause 14 deems the Contractor, before submitting his Tender, to have satisfied himself as to the “correctness and sufficiency of his Tender for the Works and of the rates stated in the priced Bills of Quantities”. If the fencing is a specific permanent works item omitted from the BQ but required by the Specification, Clause 59(3) applies: “Any error in description in the Bills of Quantities or item omitted therefrom shall not vitiate the Contract nor release the Contractor from the execution of the whole or any part of the Works...” and the Engineer “shall correct any such error or omission” and “ascertain the value of the work actually carried out”. If the fencing is a standard temporary safety measure, it is generally deemed included in existing rates.

3. NEC4 Position (Implementation) — Option C pays cost but not target uplift.

Implementation flow:

1. Contractor provides fencing required by the Scope despite omission from Activity Schedule/programme (cl. 20.1; cl. 55.1) →
2. Project Manager notifies non-acceptance of non-compliant/unrealistic programme (cl. 31.3) →
3. Contractor revises Activity Schedule to relate to Scope without changing total Prices (cl. 55.3; cl. 55.4) →
4. Contractor submits revised programme with fencing operations, resources and planned Completion impact (cl. 31.2; cl. 32.1; cl. 32.2) →
5. Project Manager replies within the period for reply and assesses amount due; under Option C pays Defined Cost plus Fee and later assesses share (cl. 13.4; cl. 50.1; cl. 11.2(31); cl. 54.1).

NEC4 ECC manages the omission by separating Scope from Activity Schedule and programme, under mutual trust and co-operation in cl. 10.2. The Contractor must "Provide the Works in accordance with the Scope" under cl. 20.1. Because "Information in the Activity Schedule is not Scope or Site Information" under cl. 55.1, omission of security fencing from the Activity Schedule or programme does not relieve the Contractor from providing it. cl. 11.2(21) was cited in the expert reference set, but the supplied analysis attached no separate operative consequence to it for this issue.

Under Option A, the Prices are the lump-sum prices for activities on the Activity Schedule under cl. 11.2(32), and the Price for Work Done to Date is based strictly on completed activities under cl. 11.2(29). If fencing is omitted, there is no separate Price allocated to it; omitted activities do not attract a direct payment right and are deemed covered by other activity Prices. The Contractor must correct the Activity Schedule so activities relate to the Scope under cl. 55.1 and cl. 55.3, but the Project Manager rejects a revision if the "total of the Prices is changed" under cl. 55.4.

Under Option C, the answer differs fundamentally. The Activity Schedule establishes the target cost, being the total of the Prices, but is not used to calculate interim payments. The Contractor is paid PWDD as forecast/actual Defined Cost plus the Fee under cl. 11.2(31). The Defined Cost of erecting fencing is reimbursed under cl. 11.2(24) because the fencing is required to Provide the Works, and it is not Disallowed Cost under cl. 11.2(26) merely because it was missing from the Activity Schedule. However, cl. 55.4 prevents increasing the total Prices for the Contractor's omission, so the Contractor receives cost reimbursement but likely suffers reduced gain share or increased pain share when the Project Manager assesses the Contractor's share at Completion under cl. 54.1.

Programme correction is mandatory. A programme must show the order and timing of operations planned to Provide the Works under cl. 31.2. Omission of fencing means the programme may not comply with Scope or realistically show plans, giving grounds for non-acceptance under cl. 31.3. The Contractor submits a revised programme under cl. 32.1 and cl. 32.2, and the Project Manager replies within the period for reply under cl. 13.4.

4. Behavioural Implications — Retrospective valuation shifts to live control.

Under GCC, the Contractor's behavioural incentive is defensive completeness at tender and careful classification afterwards. The Contractor must provide and maintain fencing throughout the Works under Clause 10 and Clause 20(1), even if it failed to programme or price it. The Engineer may require written particulars or a revised programme under Clause 16(1), but approval of that programme does not protect the Contractor because Clause 16(2) preserves all duties. Commercial effort is therefore focused on showing whether the omission is a genuine BQ omission under Clause 59(3) or merely temporary protection included in rates under Clause 14 and Clause 59(1).

Under NEC, the omission must be actively cleaned up in live management documents. The Project Manager notifies non-acceptance of a programme that does not comply with the Scope or does not realistically show the Contractor's plans under cl. 31.3. The Contractor corrects the Activity Schedule under cl. 55.3 without changing

the total of the Prices under cl. 55.4, and submits a revised programme under cl. 32.1 and cl. 32.2 showing fencing operations, resources and impact on planned Completion.

Option C changes cash and risk behaviour. The Contractor must substantiate actual/forecast Defined Cost and Fee under cl. 11.2(31), showing that fencing cost is Defined Cost under cl. 11.2(24) and not Disallowed Cost under cl. 11.2(26). The Project Manager assesses the amount due under cl. 50.1 and later the Contractor's share under cl. 54.1, so the omission becomes a target/share risk rather than a bar to interim reimbursement.

Implementation comparison (GCC vs NEC4)

Aspect	GCC	NEC4
Governing document	BQ/Schedule of Rates governs payment (Clause 59(1)).	Scope governs obligation, not Activity Schedule (cl. 20.1; 55.1).
Work obligation	Temporary Works and safety remain required (Clause 10; 20(1)).	Provide Works in accordance with Scope (cl. 20.1).
Programme omission	Approval gives no duty relief (Clause 16(2)).	PM may reject unrealistic/non-Scope programme (cl. 31.3).
Commercial correction	Engineer corrects genuine BQ omission (Clause 59(3)).	Revise Activity Schedule without total uplift (cl. 55.3; 55.4).
Option C payment	No Option C/Defined Cost machinery in corpus.	Paid Defined Cost plus Fee (cl. 11.2(31)).
Final risk	Temporary fencing generally within rates (Clause 14).	Unadjusted target affects share at Completion (cl. 54.1).

5. GCC Lessons for NEC Adoption — GCC routines become NEC management tools.

HK practitioners familiar with GCC Clause 10 and Clause 20(1) already know that temporary protection and site safety measures must be provided even when not separately priced or programmed. That habit transfers directly to NEC cl. 20.1: if security fencing is required by the Scope, it must be provided. The adjustment is purpose and timing: under NEC the omission should be treated immediately as a Scope/programme/Activity Schedule inconsistency to be corrected, not as a later debate about whether the duty exists.

The GCC Clause 16(1) workflow, where the Engineer may require written particulars or a revised programme, maps to NEC cl. 31.2, cl. 31.3, cl. 32.1 and cl. 32.2. The familiar skill is programme explanation; the NEC adjustment is that the Contractor must produce a realistic programme showing the fencing operations, resources and any effect on planned Completion, while the Project Manager has express grounds to withhold acceptance if the programme does not comply with Scope or represent plans realistically.

GCC Clause 59(3) experience with omitted BQ items helps practitioners understand document correction, but NEC changes the commercial consequence. Under NEC cl. 55.3 the Activity Schedule must be corrected so activities relate to the Scope, yet cl. 55.4 prevents changing the total of the Prices for the Contractor's omission. Under Option C, the practitioner's effort shifts from seeking an activity-price uplift to substantiating Defined Cost under cl. 11.2(24), showing the cost is not Disallowed Cost under cl. 11.2(26), obtaining assessment under cl. 50.1 and cl. 11.2(31), and managing the final share effect under cl. 54.1.

In practical terms, GCC claim, record, variation and delay-analysis habits are not discarded; under NEC they are used earlier to correct management documents, evidence Defined Cost, protect programme integrity and manage target/share exposure.

GCC practice / experience	Transfers to NEC implementation

Clause 10/20(1) safety Temporary Works duty.	cl. 20.1: provide Scope fencing immediately; do not await pricing correction.
Clause 16(1) revised programme particulars.	cl. 31.2/32.1/32.2: show fencing sequence, resources and planned Completion impact.
Clause 16(2) no relief from approved programme.	cl. 31.3: expect non-acceptance if programme omits Scope operations.
Clause 59(3) BQ omission correction.	cl. 55.3/55.4: correct Activity Schedule, but keep total Prices unchanged.
GCC site/cost records for safety measures.	Option C cl. 11.2(24)/(26)/(31): evidence Defined Cost, avoid Disallowed Cost.

6. HK-Specific Notes — PAH, SMM and DEVB guide the HK handling.

For GCC, the Project Administration Handbook (PAH) Chapter 9, Section II.04 expressly maps terminology to avoid confusing GCC with NEC target-contract language. It confirms that GCC contracts use “Bills of Quantities / Schedule of Rates” for measurement and payment rather than an “Activity Schedule”, and “Contract Sum” rather than “Prices”. It also frames GCC administration through “Extension of time, variations, claims” rather than “Compensation events”. The GCC expert response also states that the corpus is silent on Option C target contracts, Defined Cost, Fee, target adjustment, Disallowed Cost and pain/gain share mechanisms.

For GCC temporary site safety measures, the Standard Method of Measurement (SMM) for Civil Engineering Works in the corpus states that unit rates in the BQ are comprehensively inclusive. The SMM requires unit rates to include “(ix) temporary protection and its subsequent removal”, “(x) Temporary Works”, and “(xxi) liabilities, obligations and risks involved in the execution of the Works set forth or reasonably implied in the Contract”. On that basis, temporary site security fencing is contractually treated as covered by existing BQ rates even if the Contractor did not separately itemise or price it, unless the case is a genuine omitted specific item addressed by Clause 59(3).

For NEC4 in Hong Kong, DEVB Practice Note Section A6.3.4.3 aligns with the Activity Schedule correction mechanism. It confirms that if the Activity Schedule does not relate to the operations on the Accepted Programme or the Scope, it must be revised under cl. 55.3. For Option A, interim payment follows the newly adjusted Activity Schedule once accepted. For Option C, the Activity Schedule is used only for tracking the target cost and assessing changed Prices for compensation events, not for calculating interim payment.

For Option C cash flow in the NEC4 Hong Kong Edition, the HK Edition amends the PWDD definition at cl. 11.2(34). The assessment is based on the actual payment made by the Contractor at the assessment date, plus an estimated amount for cost components to be paid up to one week after the next assessment date. The Contractor is therefore paid for the fencing through this mechanism, subject to risk-based payment checking by the Project Manager to ensure the costs are not Disallowed Cost. This HK-specific amendment is central to the answer to the Option C question: omission from the Activity Schedule does not create a target uplift, but it also does not by itself prevent reimbursement of properly evidenced Defined Cost.

Rule-based Validation Summary

Overall verdict: PASSED
Confidence: 1.00
Iterations used: 1
Rule-based track: pass

Metric	Value	Threshold	Status
Citation Accuracy Rate (GCC)	1.00	≥ 0.85	pass
Citation Accuracy Rate (NEC4)	1.00	≥ 0.85	pass
Coverage Rate (GCC)	1.00	≥ 0.85	pass
Coverage Rate (NEC4)	1.00	≥ 0.85	pass
Composite Confidence	1.00	≥ 0.70	pass

NEC4 anchors covered: cl. 55.1, cl. 55.3

LLM Semantic Validation (Track 2)

Track verdict: fail
Severity: moderate
Default codes: E1 (hallucinated clause), E2 (egregious content mismatch)
Diagnostic-only — does NOT gate the overall verdict.

#	Type	Type description	Issue
1	E1	Hallucinated clause — cited in synthesis but absent from raw evidence	The synthesis cites NEC cl. 32.2 for revised programme requirements, but cl. 32.2 does not appear anywhere in the supplied NEC raw evidence.
2	E1	Hallucinated clause — cited in synthesis but absent from raw evidence	The synthesis cites NEC HK Edition cl. 11.2(34) for the amended PWDD definition, but cl. 11.2(34) does not appear anywhere in the supplied NEC raw evidence.

Proposed gap queries (for retry)

• Retrieve NEC4 ECC/HK Edition evidence for cl. 32.2 and cl. 11.2(34), including any revised programme requirements and Option C PWDD definition amendments.